

Formulas and questions

Question 1. The formula for the present value of an annuity is:

$$PV = PMT * [(1 - (1 + r)^{-n}) / r]$$

Where:

- PV = Present Value
- PMT = Payment per period
- r = Interest rate per period
- n = Total number of payments

Question : Company named ABC Ltd has a lease for 05 years with a monthly payment of \$8000 which is paid in advance. The current discount rate applied is 5% and the lease start date is 01st of January 2025 onwards.

- a. Calculate the Lease Liability?
- b. Present value of monthly payments over 5 years and the Right-of-Use Asset?

Question 2: Selena earns a gross monthly salary of LKR 85,000.

Calculate the following:

- a. EPF contribution made by the employee and employer.
- b. ETF contribution made by the employer.
- c. Cash in hand Muneeba receives at the end of the month after deducting her EPF contribution.

Use the standard Sri Lankan contribution rates:

- **EPF:**
 - Employee: **8%**
 - Employer: **12%**
- **ETF:**
 - Employer: **3%**

